



June 24, 2024

Director Kathi Vidal
U.S. Patent and Trademark Office
Alexandria, VA 22313-1450

Dear Director Vidal:

YETI is a global designer, retailer, and distributor of innovative consumer products. From coolers and drinkware to backpacks and bags, YETI designs and builds products that are built to meet the unique and varying needs of diverse lifestyle pursuits, whether in the remote wilderness, at the beach, at home, or anywhere life takes our customers. We write in response to the Notice of Proposed Rulemaking regarding Terminal Disclaimer Practice under docket PTO-P-2024-0003-0001.

YETI is a strong believer in the importance of the U.S. patent system in protecting innovation. From the first commercialized rotomolded coolers, to insulated drinkware, the YETI team is constantly innovating to provide better products to its customers. To protect this innovation, YETI is a regular filer for both utility and design patents at the USPTO, and YETI is the proud holder of over 600 U.S. patents.

Since YETI's founding, it has been the target of imitators and counterfeiters from around the world. YETI regularly finds domestic and international entities that are dedicated to making products that imitate the functionality or design of YETI products. YETI also constantly contends with overseas manufacturers that sell counterfeit and infringing unbranded goods on many popular online marketplaces. YETI regularly enforces its patent rights and other intellectual property rights to protect its innovation, and U.S. patents currently play a substantial role in combatting infringing activities.

For the reasons discussed below, YETI strongly believes that the proposed rules should not be adopted.

I. The Proposed Rule is Contrary to the Purposes of Terminal Disclaimers and Will Discourage Public Disclosure

The primary purpose of terminal disclaimers is to inhibit extension of patent term. That is, the doctrine of non-statutory double patenting was judicially created based on public policy to prevent a *timewise extension* of the right to exclude granted by a patent. *In re Goodman*, 11 F.3d 1046, 29 USPQ2d 2010 (Fed. Cir. 1993). Notably, this public policy originates from a time period in which patent term was measured from the date of grant, *not* from the earliest effective filing date as it is following the passage of the current 35 U.S.C. § 154 after the passage of the Uruguay Round Agreements Act (Public Law 103-465, 108 Stat. 4809 (1994)). Accordingly, when the doctrine was created, it was possible for applicants to extend patent term indefinitely by filing endless

continuations which would receive term measures from the date of grant rather than the original date of filing. As a result of the non-statutory double patenting doctrine, it was required that applicants filed terminal disclaimers prior to the granting of a patent including claims having “obvious” variants of other existing patented claims to prevent extension of patent term.

The doctrine of non-statutory double patenting has largely outlived its intended purpose and is now a vestige applied to continuation patent applications that will not have terms greater than 20 years from the earliest effective filing date, barring USPTO delays. Nevertheless, the current terminal disclaimer practice still aligns with this primary intent behind the doctrine, as any possible excess term is eliminated by the submission of a terminal disclaimer.

A secondary purpose of terminal disclaimers is to prevent *multiple suits* against an accused infringer by *different entities*. In *re Van Ornum*, 686 F.2d 937, 944-48, 214 USPQ 761, 767-70 (CCPA 1982). The elegant solution to this problem is to require any terminally disclaimed patent to remain co-owned. Accordingly, the alleged infringer will only ever face litigation from a *single* entity based on the current terminal disclaimer rules. Facing suits from multiple entities in multiple litigations may be an onerous burden, but that potential issue is already solved by the current terminal disclaimer practice. Notably, the proposed rules address situations where patents are asserted by a single entity in a single litigation, a situation that hardly lacks for efficiency.

With the two purposes above, the current terminal disclaimer practice is an elegant solution such that “[w]hen a terminal disclaimer causes two patents to expire together[,] a situation is created which is tantamount for all practical purposes to having all the claims in one patent.” *In Re Braithwaite*, 379 F.2d 594, 601 (CCPA 1967). Terminal disclaimer practice is intended “to be able to bring [] improvement inventions within the protection of the patent system, at the same time giving an incentive for their disclosure.” *In re Van Ornum*, 686 F.2d 937 (C.C.P.A. 1982). The proposed rules disrupt this elegant solution. The proposed rules do nothing to further the recognized public policy objectives of (1) preventing improper extension or term; or (2) preventing harassment by multiple entities. However, the proposed rules do discourage filings in the U.S. patent system that include improvements inventions, or that include any clarifying claim scope such as filing for a genus claim in relation to a previously granted species claim. Based on the rules as proposed, being required to file a terminal disclaimer will practically eliminate the ability to enforce any such claims. Accordingly, the proposed rules will hamper innovation by causing applicants to avoid filing for patents on improvements or continuations seeking to clarify claim scope, meaning less information will be disclosed to the American public.

II. The Proposed Rule Exceeds the Rulemaking Authority of the USPTO under 35 U.S.C. § 2(b)

The USPTO is granted the power to “establish regulations, not inconsistent with law, which – shall govern the conduct of proceedings in the Office.” 35 U.S.C. § 2(b). The proposed rules are both

inconsistent with law and are intended to govern conduct that firmly lies outside of proceedings in the Office.

First, the proposed rules directly conflict with law recited in 35 U.S.C. § 282, which states “[e]ach claim of a patent (whether in independent, dependent, or multiple dependent form) shall be presumed valid independently of the validity of other claims; dependent or multiple dependent claims shall be presumed valid even though dependent upon an invalid claim.” Contrary to this bedrock statutory principle, the USPTO is seeking to make patent claims unenforceable whenever a *single* claim in the terminally disclaimed patent is found invalid. The semantic differences between unenforceability and invalidity are moot where the end result is the same for would-be infringers: a useless patent.

Second, the proposed rules govern the conduct of parties outside of proceedings before the Office. Specifically, the additional condition to the acceptance of terminal disclaimers solely relates to the rights and actions of an application *after the grant* of the patent, which the USPTO does not have the authority to regulate. The relationship to proceedings before the Office is nominal at best, and therefore the USPTO does not have the authority to implement the proposed rule. Moreover, the proposed rule does not relate merely to procedure before the office, but substantively restricts the rights of acts of a patent holder subject to a terminal disclaimer. Accordingly, the USPTO likely does not have the authority to implement the proposed rules.

III. The Proposed Rules Will Enable Infringers

The growth of knock-off and counterfeiting operations worldwide is well documented. In FY 2023 alone, over \$2.7 Billion worth of counterfeit goods were seized by U.S. Customs and Border Protection.¹ The impact of intellectual property infringers on US innovators cannot be overstated, and YETI is no stranger to such infringement. Yet, the proposed rule makes it more difficult to enforce patent rights against these infringers. Rather than protect innovation, the proposed rules seek to make U.S. patents and use of the U.S. patent system *less valuable* to innovators seeking to protect their inventions.

The justification for the proposed rules also fails to account for the fact that the so called “burden” on infringers is shared by the innovators asserting their patent rights. Obtaining and enforcing patent rights is not free. Rather, to enforce a patent a patent holder must also pay costs associated with every patent obtained, including fees to the USPTO, prosecution expenses, as well as costs associated with litigation such as preparation of a complaint, infringement contentions, claim construction, and invalidity defenses. Ordinarily, these costs are not recoverable even if successful in litigation. Accordingly, the current world is not one in which so called patent “thickets” burden only alleged infringers and not the patent holder trying to assert their patent rights.

¹ See <https://www.cbp.gov/trade/fakegoodsrealdangers>



The proposed rule therefore lacks a good policy basis for its implementation, as it seeks to tilt the scales of patent enforcement in favor of an infringer who can prove the invalidity of a single claim. Accordingly, the rule effectively nullifies the ability of a patent holder to clarify the inventive claim scope to the public. For example, invalidity of a broader claim in a parent patent would render a narrower claim in a child patent unenforceable, even if the narrower claim would be otherwise valid and infringed. As another example, a typographic mistake in a patent claim that renders the claim invalid under 35 U.S.C. § 112 would render a corrected claim in a child patent unenforceable. One can hardly imagine more promising opportunities for would-be infringers reviewing a patent portfolio.

IV. Summary

In summary, the proposed rules, if adopted, would impair the value of the U.S. patent system to companies like YETI, and would discourage its use. As a result, innovating U.S. companies like YETI would be left at a disadvantage in the ability to protect innovation against existing or would-be infringers. For the reasons discussed above, YETI strongly believes that the proposed rules should not be adopted.

Best regards,

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